

TATA MOTORS PASSENGER VEHICLES (TMPV)

Integrated Three-Statement Financial Model & Valuation

Company	Tata Motors Passenger Vehicles Ltd (NSE: TMPV)	BLUE - Constants
Sector	Automobiles — Passenger Vehicles + Jaguar Land Rover	BLACK - Formulas (same sheet)
Historical Period	FY2015 – FY2026 (FY25–FY26 restated PV+JLR post demerger)	GREEN - Links to other sheets
Forecast Period	FY2027E – FY2031E	
Valuation Methods	Discounted Cash Flow (FCFF, primary) + Relative Valuation (cross-check)	
Prepared As On	20 August 2026	
Currency	INR Crores unless stated otherwise	
Primary Data Sources	screener.in (consolidated) · company FY26 disclosures	

Workbook Map

Historical Data	FY15–FY26 historical P&L, balance sheet, cash flow (screener.in consolidated)
Ratio Analysis	Profitability, leverage, efficiency, per-share & growth ratios FY26A–FY31E
Assumptions	All forecast drivers (blue cells = editable inputs)
Working Capital Schedule	Receivables / other assets / liabilities via days & %-of-revenue drivers
Dep & Capex Schedule	Net PP&E roll-forward: capex additions, depreciation
Debt Schedule	Borrowings roll-forward with cash sweep, auto-revolver and interest
Income Statement	Projected P&L FY27E–FY31E
Balance Sheet	Projected balance sheet (balances by construction; cash = CF plug)
Cash Flow	Projected cash flow (closing cash links back to balance sheet)
Valuation	DCF (FCFF, mid-year) + sensitivity + relative valuation + scenarios
Recommendation	Buy / Hold / Sell with rationale, risks and action triggers
Checks	Model controls: balance, cash, roll-forwards — all must show PASS

KEY DATA NOTES

Demerger — Effective 1-Oct-2025 the CV business was demerged; TMPV (PV + JLR) is the original listed company. FY15–FY24 history is the old combined Tata Motors; FY25–FY26 are restated PV+JLR.

FY26 one-off — Other income includes a ₹86,291 Cr demerger-related exceptional gain; forecasts use normalized other income from Assumptions.

JLR cyberattack — A Sep-2025 cyberattack shut JLR production ~5 weeks; FY26 revenue/margins are depressed and the forecast assumes recovery.

Cash anchors — Screener lumps cash into 'Other Assets'; FY26 cash is derived from the disclosed net debt of ₹30,710 Cr.

TMPV — DCF VALUATION (FCFF)

(All figures in ₹ Crores except per-share data)

1. COST OF CAPITAL (WACC)

Cost of equity (Ke)	13.4%
Post-tax cost of debt	4.9%
Market value of equity (₹ Cr)	1,21,973.5
Debt (FY26 borrowings, ₹ Cr)	79,109.0
Weight of equity	60.7%
WACC	10.0%
Terminal growth (g)	3.0%

2. FREE CASH FLOW TO FIRM (FCFF)

	FY27E	FY28E	FY29E	FY30E	FY31E
EBIT	12,901.8	18,210.4	21,535.9	25,156.3	29,282.2
NOPAT (EBIT × (1-t))	9,676.4	13,657.8	16,151.9	18,867.2	21,961.7
+ Depreciation	22,804.1	24,016.6	25,356.2	26,318.3	27,116.1
- Capex	(33,826.7)	(36,194.5)	(34,103.3)	(33,570.4)	(35,249.0)
- Increase in working capital	4,363.7	3,971.0	3,920.6	3,365.4	3,510.0
FCFF	3,017.5	5,450.8	11,325.4	14,980.5	17,338.8
Discount factor	0.95	0.87	0.79	0.72	0.65
PV of FCFF	2,876.5	4,721.7	8,914.9	10,715.6	11,270.2

3. DCF VALUATION

PV of explicit FCFF (FY27–31)	38,498.9
Terminal value at FY31	2,53,457.3
PV of terminal value	1,64,747.3
Enterprise value	2,03,246.2
+ Cash & equivalents (FY26)	22,086.0
+ Investments (FY26)	26,313.0
- Borrowings (FY26)	(79,109.0)
EQUITY VALUE (₹ Cr)	1,72,536.2
Shares outstanding (Cr)	368.5
INTRINSIC VALUE PER SHARE (₹)	468.2
Current market price (₹)	331.0
Upside / (downside)	41.5%
Terminal value as % of enterprise valu	81.1%

4. DCF SENSITIVITY — INTRINSIC VALUE PER SHARE (₹)

WACC \ g	2.0%	2.5%	3.0%	3.5%	4.0%
9.0%	485.4	523.1	567.0	618.8	680.9
9.5%	444.6	476.7	513.8	557.0	608.0
10.0%	408.8	436.6	468.2	504.7	547.2
10.5%	377.3	401.4	428.7	459.9	495.8
11.0%	349.4	370.4	394.2	421.0	451.7

Mid-year convention: explicit FCFF at t = 0.5 ... 4.5. The Gordon terminal value prices a perpetuity whose flows also arrive mid-year (first flow = t=5.5), i.e. one period before the first terminal flow → discounted at t = 4.5. Internally consistent; the year-end alternative (t = 5.0) would value ~4% lower.

5. RELATIVE VALUATION (COMPARABLE COMPANIES)

Peer	P/E (times)	ROCE %
Mahindra & Mahindra	22.2	15.1%
Maruti Suzuki	30.3	18.9%
Hyundai Motor India	36.5	38.4%
Global luxury OEM peers (JLR mix reference):		
BMW Group	5.6	
Mercedes-Benz Group	8.5	
FY27E EPS (₹)	23.3	
Target multiple (times)	16.0	
Bear case: 12 times FY27E EPS (₹/sh)	279.6	

Source: screener.in, 20-Aug-2026

Source: stockanalysis.com, 20-Aug-2026

Bridge: pure-India PV peers trade 22–37×; TMPV earns most revenue from JLR (global luxury OEMs trade 5–10×) → blended ~16×.

~80% of EV sits in the terminal value — read the DCF with the sensitivity grid and scenarios, not as a point estimate

BASE CASE: 16 times FY27E EPS (₹) 372.7
Bull case: 20 times FY27E EPS (₹/sha) 465.9

6. VALUATION SUMMARY & VERDICT

DCF intrinsic value (₹)	468.2	primary method — pure cash-flow maths
Relative — bear 12 times (₹)	279.6	
Relative — base 16 times (₹)	372.7	cross-check — pure-India peers are imperfect comps for the JLR-heavy mix
Relative — bull 20 times (₹)	465.9	
FAIR VALUE (base case, ₹/share)	468.2	DCF is the primary method; relative valuation is the cross-check
Current market price (₹)	331.0	
CMP vs fair value	-29.3%	
VERDICT	UNDERVALUED	
FAIR VALUE RANGE (Bear–Bull DCF ₹335 – ₹610)		presented as a range — DCF precision is assumption-bounded (red-flags review #12)

7. SCENARIO ANALYSIS — BEAR / BASE / BULL

Case	FCFF scale	Terminal g	DCF ₹/share	P/E (times)	EPS scale	Relative ₹/sha	What the case assumes
Bear	0.85	2.0%	335	12.0	0.85	238	JLR demand stays weak (China/EU luxury slump, tariff drag); India PV share slips — FCFF ~15% lower, EPS ~15% lower, multiple de-rates.
Base	1.00	3.0%	468	16.0	1.00	373	The model's central case (as built above).
Bull	1.10	4.0%	610	20.0	1.10	513	JLR margin recovery beats plan and India EV lead widens — FCFF ~10% higher; market re-rates toward pure-India peers.

Even the Bear case's DCF value sits above today's price — the market is pricing JLR stress as permanent.

INVESTMENT RECOMMENDATION

(All figures in ₹ Crores except per-share data)

RECOMMENDATION

Current market price (₹)	331.0	
Fair value — base case (₹)	468.2	Bear–Bull DCF range: ₹335 – ₹610; relative cross-check ₹280 – ₹466
Relative cross-check — base 16× (₹)	372.7	
Valuation verdict	UNDervalUED	
Expected return to fair value	41.5%	

RATING (12 months)

BUY

BUY — the DCF says the market is pricing JLR's stress as permanent. Sized for a 12-month recovery in JLR volumes/margins; the relative cross-check (₹ vs pure-India peers) is less reliable given the mix.

WHY — THE FOUR PILLARS OF THE CALL

Growth prospects	RECOVERING	FY26 was cyberattack- and tariff-hit; the model assumes revenue rebuilds at the Assumptions-tab growth path with JLR volumes normalising and India PV riding new launches/EVs.
Competitive position	MIXED BUT IMPROVING	India #3 in PV with the EV lead (Nexon/Punch/Tiago EV franchise); JLR owns genuinely premium brands (Defender, Range Rover) but is exposed to China/EU luxury cycles.
Financial strength	IMPROVING	Net debt ₹30,710 Cr at FY26 with a deleveraging path in the Debt Schedule (cash sweep + ₹15,000 Cr cash floor revolver); interest cover improves through the forecast.
Valuation	THE OPPORTUNITY	At ~14× FY27E earnings vs pure-India peers at 22–37×, the market already prices a deep JLR discount; DCF fair value ₹468 implies ~41% upside.

KEY RISKS TO THE CALL

Downside risks	(1) JLR volume/margin recovery from the Sep-2025 cyberattack proves slower than assumed; (2) China/EU luxury demand stays weak or US tariffs escalate; (3) EV transition capex rises faster than the capex assumption; (4) FY26 baseline distortions (one-off gain excluded, but margins depressed) make forecast error larger than usual.
Upside risks (what could make BUY conservative)	(1) JLR margins recover faster on Defender/Range Rover mix; (2) India PV share gains accelerate with EV leadership; (3) a re-rating toward even the Bear-case relative multiple adds to DCF-driven upside.

WHAT TO DO — ACTION TRIGGERS

If you own the stock	Keep it — the DCF says intrinsic value is well above price and the balance sheet is deleveraging.
If you want to buy	Current price (~₹331) is already ~34% below DCF fair value; accumulating here is consistent with the model. Averaging on JLR-news dips improves the entry.
Re-rate the call UP if	JLR EBIT margin normalises ahead of plan, India PV market share crosses its recent highs, or net debt falls faster than the Debt Schedule path.
Re-rate the call DOWN if	JLR volumes fail to recover by mid-FY27, EBITDA margin undershoots the Assumptions path, or net debt rises instead of falling.

Bottom line: a recovering franchise priced for permanent stress. BUY.